Vendor SLA Management: A Practical Guide

How to write service levels that can be measured, reviewed and enforced

A service level agreement is only as good as the report that proves it. Most disputes between a facilities team and an integrated services provider are not about effort; they are about how a response time was measured, whether a task was complete and who owns the root cause. This guide sets out the practices Chapter members have found to work in India's office and campus portfolios.

1. Start from outcomes the business notices

- Comfort: temperature and humidity inside the agreed band for at least 95% of occupied hours
- Availability: critical plant (chillers, DG, UPS, lifts) available at least 99.5% of the time
- Responsiveness: priority-one complaints acknowledged in 10 minutes and resolved in 2 hours
- Cleanliness: audited score of 90 or better on the monthly inspection, by area type
- Safety: zero lost-time incidents and 100% closure of statutory compliance actions on due date

2. Define each measure completely

Element	Example: priority-one response
Definition	Time from ticket creation to engineer on site with the task acknowledged
Clock	Helpdesk timestamp, 24x7, stopped only by a client-approved pause reason
Target / floor	10 minutes / 20 minutes
Data source	CMMS export, reconciled monthly with the client helpdesk
Remedy	Service credit of 1% of the monthly fee per 5 percentage points below target
Owner	Provider account manager; client contract manager reviews

3. Governance cadence

1. Daily: shift handover and open-priority review at the site level.
2. Weekly: contract manager and provider supervisor review aged tickets and repeat failures.
3. Monthly: SLA scorecard, credits, audits and a short list of improvement actions with owners.
4. Quarterly: business review with finance, HR and the provider's regional head; reset targets and approve changes.

4. Credits and bonuses

Keep credits proportionate and capped (typically 10 to 15% of the monthly fee) so the provider stays solvent and engaged. Pair credits with a smaller bonus for sustained out-performance and for cost-saving ideas that the client validates. Never let credits be waived informally; record each waiver and its reason in the scorecard.

5. Common failure points

- Targets copied from another site without checking the plant, occupancy or hours

- Penalties so high that the provider stops reporting honestly
- No baseline period; the first three months should be measurement-only
- Changes to scope agreed on email but never written into the contract schedule